cognizant

CIS INFRA · INTERNAL OFFERING PROPOSAL · FOR SENIOR LEADERSHIP REVIEW

AI Capacity and FinOps Assessment

Measure demand, then choose PAYG, PTU, hybrid or self-hosted capacity on evidence

Fixed-scope assessment with transparent cost models and decision gates · US, Europe, UK and Middle East pursuits

PROPOSED OFFERING

Measure demand first, then buy capacity on evidence

Problem AI capacity is bought on guesses. Agent loops multiply tokens; PTU commitments outlive models; licences add new cost lines.

Offer A fixed-scope assessment: instrument usage, compare options on one cost boundary, check licence economics, set decision gates.

Outcome A decision memo with measured demand, sizing, break-even points, sensitivity and the approvals still required.

Value Cost per useful AI task; capacity bought on evidence, not guesses.

Decision requested

- Approve the assessment as a portfolio option
- No commitment advice without measured data and customer prices
- Name FinOps and AI owners per pilot

Limit: A PTU is a unit of model throughput, not a fixed number of GPUs. We advise; the customer decides.

Models retire fast and list-price PTU rarely beats PAYG

Models retire fast

gpt-4.1 retires 14 Apr 2027 and gpt-5.4 on 2 Sep 2027, inside a 1-year reservation bought today.

Source: Foundry retirement schedule

List PTU rarely wins

At list price a PTU costs $730 a month; fully used, it replaces at most $263 of gpt-5.4 input spend.

Source: Azure Retail Prices API, PTU sizing docs

Agent licences arrive

Agent 365 is $15 per user per month or in E7; Copilot Studio credits bill through Azure.

Source: Microsoft blog; Microsoft licensing guide

Who buys

FinOps lead or CFO delegate with the AI platform leader; procurement when a Microsoft offer is on the table.

What triggers the purchase

Model spend growing faster than usage; throttling; a PTU or licence renewal; a scale-up business case.

No pipeline or customer demand is claimed. Account shortlist and qualification scorecard: appendix Q1.

PROPOSED PORTFOLIO

04 is the quickest way into the portfolio



Microsoft ecosystem around the portfolio

M365 Copilot

Owned by Cognizant M365 and D365 teams; CIS Infra supplies

HANDOFF

Copilot Studio

Agents covered as a runtime in offerings 02 to 05

COVERED RUNTIME

Agent 365

Microsoft agent control plane; configure before any custom build

CONFIGURE FIRST

API Center

Registry for APIs and MCP tools, beside API Management

CIS INFRA BUILDS

Hands to 01 Landing Zone

Deployment type, processing boundary, quota and capacity plan

Hands to 03 Gateway

PTU first, PAYG overflow routing, token budgets

Receives from 05 Operations

Monthly usage, utilisation and cost evidence

PROPOSED SCOPE

We measure and model; the customer decides and buys

Included: CIS Infra delivers

- Usage telemetry baseline
- Workload characterisation
- Option models, one cost boundary
- Licence economics check
- Decision memo and gates

Optional: priced separately

- Load tests and PTU benchmark
- FinOps operating model setup
- GPU serving proof of concept

Other owners

- AI: usage forecast, model choice
- Finance: commercial treatment
- Customer: agreement prices
- Procurement: commitments
- M365 and D365 teams: M365 Copilot

Limit: We do not buy capacity or licences, and we give no financial advice. The customer decides.

PROPOSED FRAMEWORK

Every capacity choice is one of four options

PAYG

Use when

Uncertain, variable or early demand

Main risk

Per-token cost; throttling at peaks

PTU

Use when

Measured, sustained load with latency targets

Main risk

Commitment and model-lifecycle risk

Hybrid

Use when

Established baseline plus governed overflow

Main risk

Overflow spend; two configs to run

Self-hosted GPU

Use when

Model, data or control needs PaaS cannot meet

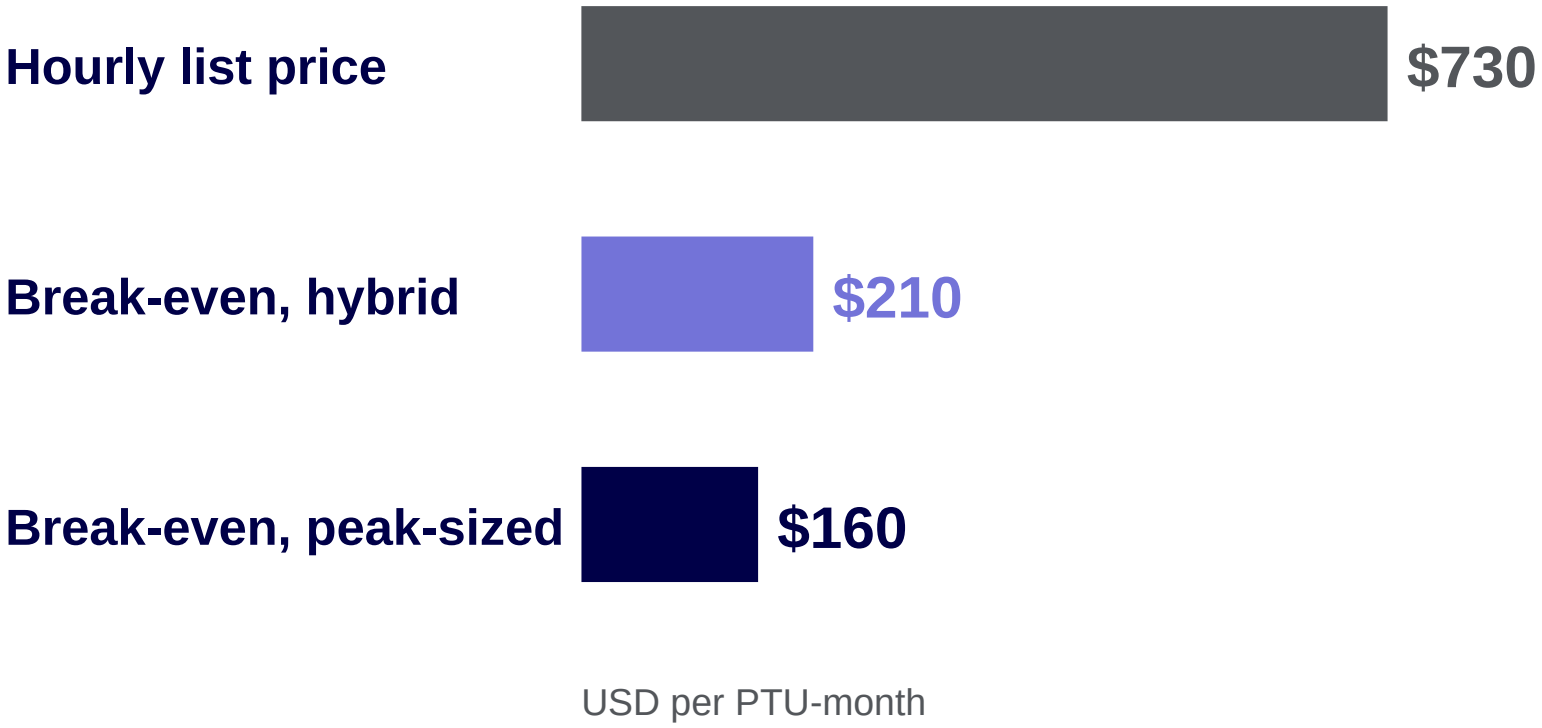
Main risk

Operating burden and engineering

Decision: Gate to PTU or GPU: measured traffic, benchmark, customer price, model lifecycle check, Finance approval.

ILLUSTRATIVE WORKLOAD

PTU only pays below a price; list is far above it



Read in 10 seconds

PTU must cost under $210 a month to beat PAYG here.

Hourly list is $730. Only a reservation price or a latency need can justify PTU.

Limit: Assumed workload, gpt-5.4 list prices, PAYG $136,245 a month. Not a recommendation. Detail: appendix A8 to A11.

ESTIMATE, NOT APPROVED

A 4 to 6 week assessment, with add-ons when needed

Package	Effort (role days)	Elapsed time	Indicative fee band*
Assessment	20 to 40	4 to 6 weeks	$20k to $40k
Benchmark add-on	10 to 20	2 to 4 weeks	$10k to $20k
FinOps operating model	15 to 30	4 to 6 weeks	$15k to $30k

What moves an engagement to the high end: no existing telemetry, many workloads or regions, GPU benchmark, chargeback by team and agent.

Note: *Fee band = role days x illustrative $1,000 per day. Not a Cognizant rate or quote. Azure and licence spend are separate.

Advice without measured data is the main risk

No measured traffic

Effect: Sizing is guesswork

Handle: Pilot telemetry or load test first

Owner: AI with CIS Infra

Reservation price unknown

Effect: Wrong break-even

Handle: Obtain the customer agreement price

Owner: Customer procurement

Model retires mid-term

Effect: Re-benchmark and re-size

Handle: Check retirement dates; shorter terms

Owner: AI tower

Agent loops multiply tokens

Effect: Cost per task explodes

Handle: Loop limits, per-agent budgets

Owner: AI with offering 02

Security threat model and regulatory notes: appendix SEC1 and SEC2.

TARGETS AFTER PILOT

Decisions follow evidence; adopt the no-data rule today

Success measures

Unit cost cost per useful task, by workload

Forecast error forecast versus actual monthly spend

Utilisation PTU or GPU used versus paid for

Throttling share of calls returning 429

Coverage spend attributed to an owner

Decide today

- Assessment as a portfolio option
- Rule: no commitment advice without data
- Owners for licence economics

Decide after evidence or approval

- Fixed fee level (Finance)
- Benchmark tooling (pilot)
- GPU proof of concept (AI tower)

90-day ask: budget and sponsor are inputs (deck 00 slide 10). Stop at day 45 if no account gives data access.

APPENDIX

Technical and commercial appendix

Decision criteria, demand inputs, PTU sizing, lifecycle risk, worked example, sensitivity, GPU economics, telemetry, licence economics, FinOps operating model, funded assessments, delivery bench, account play, RACI and sources.

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44 **D1** Decision and approval register
45 **S1** Sources and verification dates
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Decision criteria for PAYG, PTU, hybrid and self-hosted

Criterion	PAYG	PTU	Hybrid	Self-hosted GPU
Demand evidence	None needed	Measured sustained load	Measured baseline and peaks	Measured load and model fit
Latency need	Best effort	Defined latency target	Target for baseline	Engineered by team
Commitment	None	Hourly or 1-month or 1-year	Smaller reservation	VM terms up to 5 years
Model lifecycle	Auto-upgrade possible	Manual migration	Manual for PTU part	Team owns upgrades
Operating burden	Low	Low to medium	Medium	High
Price input needed	Token prices	Reservation price	Both	VM, licence, ops cost

Workload characterisation inputs

Input	Why it matters	Source
Model, version, deployment type	Price, throughput per PTU, processing boundary	AI tower
Input, output, cached, reasoning tokens	Price per token type; PTU weighting	Gateway and deployment metrics
Context length	Prompt size and KV cache memory	Application design
Concurrency and arrival pattern	Peak sizing and overflow share	Gateway logs
Latency and throughput targets	Whether PTU or GPU is needed	Workload owner
Agent loops, retries, tool calls	Calls per useful task	Traces (offering 02)
Peak demand and resilience headroom	Capacity margin and second region	Workload owner, AI
Quota versus deployable capacity	Whether the plan can be deployed	Portal or capacity API

Agent loops, retries and tool calls multiply tokens

1 task
user request

→

3 calls
agent reasoning loop

→

+5%
retries

→

3.15 calls
per useful task

At the example’s prices each call costs about $0.0099, so a task costs about $0.0311. Tool results added to the context make later calls larger still.

Decision: Cost per useful task, not cost per call, is the unit leaders should track.

VERIFIED 11 OCT 2026

Quota, capacity and reservations are different things

Quota

Policy limit per subscription, region and deployment type. No cost. Does not guarantee capacity.

Capacity

PTUs actually available for a model version, allocated at deployment and held while it exists.

Reservation

Billing discount for a 1-month or 1-year term. Does not guarantee capacity. Separate for Global, Data Zone, Regional.

Decision: Order matters: confirm quota, create the deployment to secure capacity, then buy the reservation.

Limit: Scaling down releases capacity; there is no guarantee it can be regained later.

PARTLY CARRIED FROM v2

PTU sizing method and current parameters

Normalised TPM = input TPM x (1 − cache rate) + output-to-input ratio x output TPM

PTUs = normalised TPM ÷ input TPM per PTU, rounded up to the increment (and at least the minimum)

Model (version)	Global / Data Zone min, increment	Regional min, increment	Input TPM per PTU	1 output token =
gpt-5.4 (2026-03-05)	15, 5	50, 50	2,400	6 input
gpt-4.1 (2025-04-14)	15, 5	50, 25	3,000	4 input
gpt-4.1-mini (2025-04-14)	15, 5	25, 25	14,900	4 input
gpt-5 (2025-08-07)	15, 5	50, 50	4,750	8 input
gpt-5-mini (2025-08-07)	15, 5	25, 25	23,750	8 input
o4-mini (2025-04-16)	15, 5	25, 25	5,400	4 input

Limit: Benchmark with representative traffic before any commitment. A PTU is not a fixed number of GPUs.

VERIFIED 11 OCT 2026

Commitment and model-lifecycle risk

Model (version)	Lifecycle status	Retirement date	Implication for a 1-year reservation bought now
gpt-5.6	GA	2028-01-11	Outlasts a 1-year term bought in October 2026
gpt-5.4 (2026-03-05)	GA	2027-09-02	Retires before a 1-year term ends
gpt-4.1 (2025-04-14)	Deprecated	2027-04-14	Model retires before term ends; re-size on successor
gpt-4.1-mini (2025-04-14)	Deprecated	2027-04-14	Same
gpt-5 (2025-08-07)	GA	2027-02-09	Retires before term ends
gpt-4o (2024-11-20)	Legacy	2027-04-14	Replacement listed: gpt-5.1

Limit: Provisioned deployments are not auto-upgraded. Budget a migration and re-benchmark inside any commitment term.

Reservation coverage versus actual utilisation

Coverage

Reserved PTUs ÷ deployed PTUs

Low: paying hourly list for PTUs that could be reserved

Utilisation

Normalised tokens used ÷ PTU capacity

Low: paying for idle capacity, reserved or not

Overflow share

Tokens served by PAYG ÷ total

High: baseline undersized or peaks unmanaged

Decision: Report all three monthly. A single coverage number hides idle capacity.

Worked example inputs: verified prices, assumed load

Input	Value	Status
Model and deployment	gpt-5.4, Global Standard or Global Provisioned	**Assumed choice**
Input / cached / output price	$2.50 / $0.25 / $15.00 per 1M tokens	**Verified list**
Provisioned hourly price	$1.00 per PTU-hour Global ($730 per PTU-month)	**Verified list**
PTU parameters	min 15, increment 5, 2,400 input TPM per PTU, output x6	**Verified**
Tasks	100 per minute average	**Assumed**
Calls per task	3 model calls plus 5% retries	**Assumed**
Tokens per call	2,000 input (25% cached), 400 output	**Assumed**
Daily profile	Peak 1.66x mean in business hours; night 0.31x	**Assumed**
PTU reservation price	Not published in retail price API	**Missing: customer agreement**

Worked example results

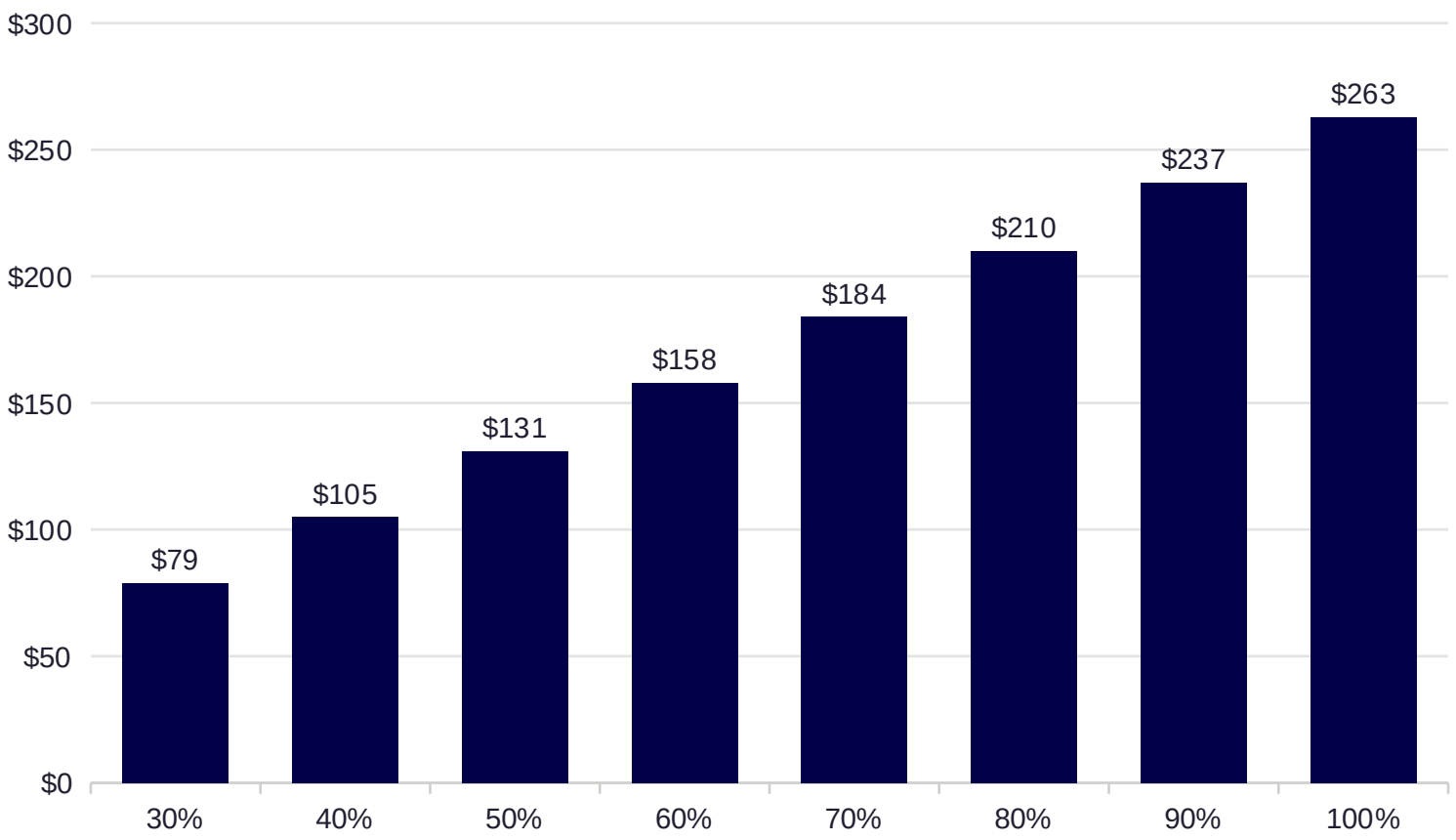
Option	Capacity	Monthly cost at hourly list	Break-even PTU price	Utilisation
PAYG only	n/a	$136,245	n/a	n/a
PTU sized to peak	850 PTU	$620,500	$160 per PTU-month	60%
Hybrid	425 PTU + PAYG overflow	$357,078	$210 per PTU-month	79%

- Hourly provisioned at list ($730 per PTU-month) costs far more than PAYG here.
- Even at 100% utilisation one Global PTU replaces at most $263 of gpt-5.4 PAYG spend a month.
- So PTU is justified by latency targets and by a reservation price well below list, not by hourly pricing.

Limit: Illustrative only. Do not use these numbers to recommend a real commitment.

ILLUSTRATIVE

Sensitivity: break-even price rises with utilisation



Read the chart

At 70% average utilisation a PTU must cost under about **$184** a month to beat gpt-5.4 Global PAYG.

Hourly list is $730. The gap must come from the reservation price.

Limit: Utilisation is average normalised load ÷ capacity. Peak sizing lowers it; hybrid raises it.

ILLUSTRATIVE

Sensitivity: which assumptions move the answer

Variant	PAYG per month	PTU peak / hybrid	Break-even peak	Break-even hybrid
Base case	$136,245	850 / 425	$160	$210
No caching	$151,767	960 / 480	$158	$208
50% cached input	$120,724	740 / 370	$163	$214
5 calls per task	$227,076	1415 / 710	$160	$210
800 output tokens	$219,027	1370 / 685	$160	$210

Decision: Volume changes cost but barely moves break-even. Demand shape and reservation price decide the answer.

VERIFIED 11 OCT 2026

Self-hosted GPU inference: what drives capacity

Factor	Why it matters
GPU memory and KV cache	Model weights plus per-request cache limit concurrency and context length
Precision and quantisation	Lower precision fits more but can change quality
Batching	Raises throughput, adds latency
GPU SKU and interconnect	ND H100 v5: 8 x H100 80 GB, NVLink 4.0, 3.2 Tbps InfiniBand
Replicas and availability	N+1 for maintenance and failure; regional capacity varies
Serving stack and licences	Inference server, model licence terms, support
Patching and engineering	Drivers, images, security fixes, upgrades: ongoing effort

VERIFIED VM PRICE

ILLUSTRATIVE COMPARISON

Self-hosted GPU: break-even throughput, not GPU count

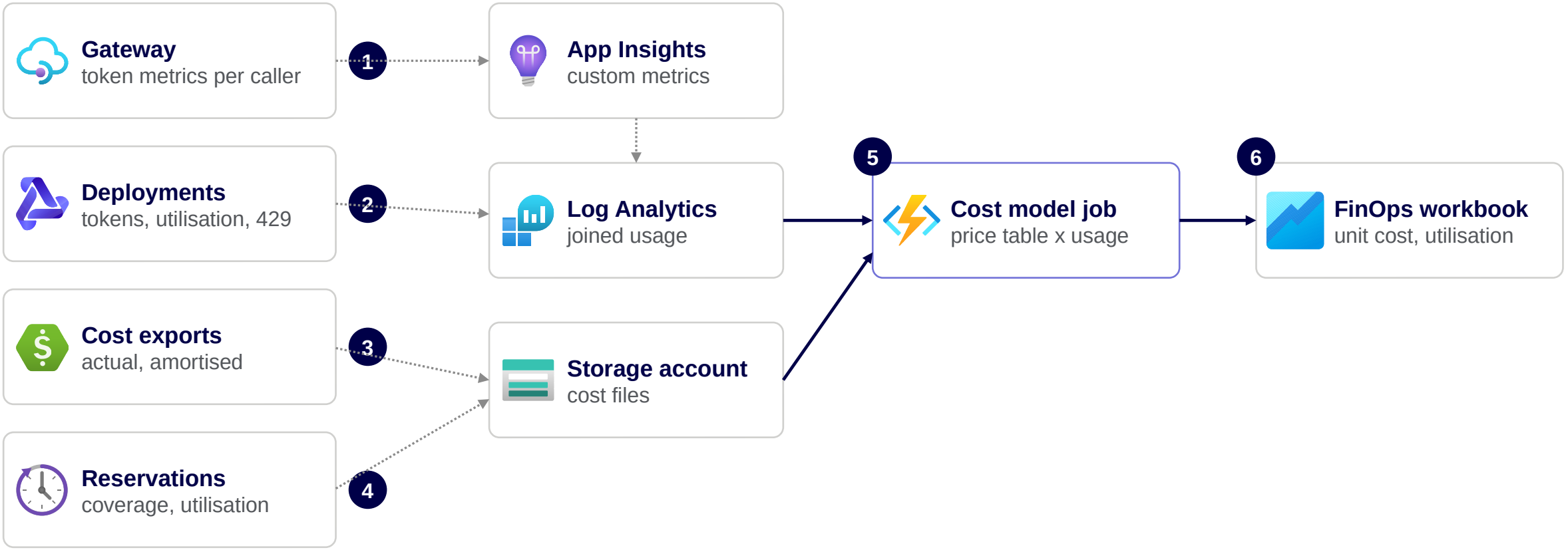
Item	Value	Status
VM price (ND96isr H100 v5, Linux)	$98.32 per hour, about $71,774 a month	**Verified list**
Blended PAYG price in the example	about $4.11 per 1M tokens	**Derived**
Break-even throughput, 1 VM	about 6,638 tokens per second, 24x7	**Derived**
With N+1 (2 VMs)	about 13,275 tokens per second, 24x7	**Derived**
Not included	Storage, network, licences, operations, engineering	**Must be added**

Limit: Benchmark the chosen open model on the chosen stack. A PTU does not equal a fixed number of GPUs.

Compare options on the same cost boundary

Cost line	PAYG	PTU	Hybrid	Self-hosted GPU
Model tokens or capacity	Included	Included	Included	GPU VMs
Gateway and routing	Add	Add	Add	Add
Storage and network	Add	Add	Add	Add
Monitoring and logs	Add	Add	Add	Add
Serving stack, licences	n/a	n/a	n/a	Add
Patching and engineering	n/a	n/a	n/a	Add
Operations staffing	Add	Add	Add	Add
Resilience headroom	429 risk	Add	Add	N+1 replicas

Telemetry architecture for the assessment



Request / data flow Telemetry or state read Purple outline = custom build

Proposed reference architecture · CIS Infra custom design · not a Microsoft-published or Microsoft-endorsed architecture

PARTLY CARRIED FROM v2

Deployment type changes price and processing location

Deployment type	Input / cached / output per 1M	Provisioned per PTU-hour	Processing location
Global	$2.50 / $0.25 / $15.00	$1.00	Any Azure region
Data Zone	$2.75 / $0.275 / $16.50	$1.10	Within US or EU zone (gpt-5.4)
Regional	No Standard PAYG for gpt-5.4	$2.00	Germany West Central, Sweden Central, UK South only

Decision: Residency is a cost driver: Data Zone adds 10% on tokens; Regional provisioned is twice Global per PTU-hour.

Assessment deliverables and acceptance

Deliverable	Acceptance evidence	Approver
Telemetry baseline	Usage by workload and token type for the agreed period	Customer platform owner
Workload profiles	Inputs in A2 completed or marked assumed	Customer workload owner
Option models	Same cost boundary for all options	Customer FinOps lead
Sensitivity and break-even	Drivers and missing prices stated	Customer FinOps lead
Decision memo	Gates, owners and approvals listed	Customer sponsor

CHECKED 11 OCT 2026

Licence economics: agent licences are a new cost line

Item	Unit and list price	Billed through	What we check	Source status
Agent 365	$15 per user per month	Microsoft 365 licence	Users who need agent governance	Microsoft, GA
Microsoft 365 E7	About $99 per user per month; includes Agent 365	Microsoft 365 licence	Whether already owned or planned	Contents: Microsoft Learn; price: third party
Copilot Studio credits (PAYG)	$0.01 per credit	Azure subscription	Credits per agent run, monthly trend	Microsoft licensing guide
Copilot Studio capacity pack	$200 per 25,000 credits per month	Licence	Pack versus PAYG break-even	Microsoft licensing guide
Microsoft 365 Copilot seats	Not modelled here	Microsoft 365 licence	Owned by M365 and D365 teams	Handoff

Example check (arithmetic only): a capacity pack beats PAYG credits when monthly use exceeds 20,000 credits ($200 ÷ $0.01).

Limit: Licence prices change and vary by agreement. Use the customer agreement; we give no licensing advice.

PROPOSED

FinOps operating model for AI spend

Weekly
Anomalies

- Spend spikes by agent
- Overflow above plan
- 429 throttling trend

Monthly
Unit cost and utilisation

- Cost per useful task
- PTU coverage and utilisation
- Showback by team

Quarterly
Commitments and lifecycle

- Reservation renewals
- Model retirement dates
- Licence true-up

Data	Source
Azure cost, FOCUS format	Cost Management exports
Tokens by caller and agent	Gateway token metrics (offering 03)
Utilisation and 429s	Foundry deployment metrics

ALLIANCE TEAM TO CONFIRM

Funded discovery and our paid assessment work together

Situation	What we do	Who pays
Customer eligible for Microsoft funding	Funded discovery first, then our decision memo on measured data	Microsoft (discovery), customer (assessment)
Customer not eligible	Paid assessment with scope sized to the decision	Customer
Earlier assessment exists	Reuse findings; smaller scope and fee	Customer
Large commitment pending (PTU, E7)	Benchmark add-on before the decision	Customer

Decision: Funding eligibility is per customer and confirmed by the alliance team. No funding is assumed in any price.

PROPOSED TOOL

Qualification scorecard and account shortlist template

Criterion (score 0, 1 or 2)	Evidence
Funded workload	Named owner, budget route, decision date
Platform authority	Who can approve tenant and network changes
Executive sponsor	Named and engaged
Data access	Source owner and rights confirmed
Region and capacity	Model, deployment type and quota checked
Data residency gate	UK or Middle East in-country need checked (deck 01)
Regulated bank	Model risk and DORA position known
Measured traffic	Telemetry or a defined load test
Price inputs	Agreement prices available to us

Account shortlist (template, empty)

Account	Sponsor	Workload	Blocker	Score	Next action

Decision: Quote implementation at 14+ with no zero on funding, authority, sponsor or residency. Otherwise sell the assessment.

ESTIMATE, NOT APPROVED

How the effort and duration ranges were built

Package	Low case assumes	High case assumes
Assessment	Telemetry exists, two workloads, one region	No telemetry, six workloads, three regions
Benchmark add-on	One model, PTU benchmark only	Several models and a GPU serving benchmark
FinOps operating model	Showback by product	Chargeback by team and agent with FOCUS reconciliation

Basis and recalibration plan

Basis: bottom-up author estimate. Assessment = 2 weeks of telemetry set-up and capture, workload profiling, cost model, sensitivity, memo and readout. Recalibrate after every pilot: record actual role days per package, compare with the band, and reset bands each quarter. Owner: integrated service owner with Finance.

AI threat model: what can go wrong, and who controls it

Threat	Example	Control	Owner
Denial of wallet	Runaway agent burns tokens	Token quotas, budgets, anomaly alerts	CIS Infra, budget owner
Cost data exposure	Spend data reveals business plans	Role-based access to exports and reports	CIS Infra
Telemetry with personal data	Prompts captured in logs	Log token counts, not content; redaction	Security
Unapproved model spend	Shadow deployments	Policy on deployment types, tag rules	CIS Infra with Security
Supply chain	Unvetted cost tool with broad read access	Native Cost Management exports; read-only roles	CIS Infra
Agent identity misuse	Shared key hides which agent spends	Per-agent identity and token metrics (03)	Security
MCP tool trust boundary	Unapproved tool calls add hidden cost	Gateway-only tool routing (03); per-tool metrics	CIS Infra with Security

Regulation: who holds which duty, and where we help

Party	Likely EU AI Act role (indicative)	What this offering supports
Customer deploying AI systems	Deployer (usually)	Cost and capacity records (limited AI Act relevance)
Customer building its own AI system	Provider	Resource and cost documentation inputs
Cognizant CIS Infra	Usually neither: infrastructure service provider	Role stated in the contract; Legal confirms

Area	Checkpoint	Status (checked 11 Oct 2026)
EU AI Act	Annex III high-risk duties from 2 Dec 2027; Annex I from 2 Aug 2028	Third-party summary (Orrick); EUR-Lex not verified
EU DORA	ICT risk and ICT third-party contract terms for financial entities	Applies from 17 Jan 2025 (EUR-Lex)
EU NIS2	Cyber risk management for essential and important entities	National laws; deadline 17 Oct 2024
UK	Regulator-led AI principles; UK GDPR	Not re-verified: confirm current position
UAE	Federal Decree-Law 45 of 2021 (personal data)	Executive regulations: verify status
Saudi Arabia	PDPL (enforceable Sep 2024); NCA cloud controls CCC-1:2020	Third-party summary; verify transfer rules
US banks	Interagency model risk guidance (17 Apr 2026) replaced SR 11-7	Generative and agentic AI out of scope; governance still expected

Glossary of terms used in this deck

Term	Meaning
A2A	Agent-to-agent protocol for agents calling other agents
Agent 365	Microsoft control plane to register, observe and govern agents (per-user licence)
API Center	Azure registry for APIs and MCP servers; decides which tools exist
APIM	Azure API Management; the gateway that controls traffic
Copilot Studio	Microsoft low-code tool to build agents; consumption in Copilot credits
Data Zone	Model processing inside a Microsoft data zone (US, EU or APAC)
DORA	EU Digital Operational Resilience Act for financial entities
FOCUS	FinOps Open Cost and Usage Specification for cost data exports

Term	Meaning
Foundry	Microsoft Foundry: Azure platform for models and agents
FTE	Full-time equivalent person
MCP	Model Context Protocol: standard way for agents to call tools
MRM	Model risk management (banking supervision)
NIS2	EU directive on cybersecurity for essential sectors
PAYG	Pay as you go: pay per token used
PDPL	Personal Data Protection Law (Saudi Arabia, UAE)
PIM	Entra Privileged Identity Management: just-in-time admin access

Term	Meaning
PTU	Provisioned throughput unit: reserved model capacity, billed per hour
RACI	Responsible, Accountable, Consulted, Informed
RFP	Request for proposal
RTO / RPO	Recovery time objective / recovery point objective
SOW	Statement of work
Token	Unit of text a model reads or writes; the main pricing unit
TPM	Tokens per minute

Agent containment: how this offering contributes

1. **Block new requests**
   API Management ingress
2. **Cancel or isolate**
   runtime adapter
3. **Deny actions**
   outbound gateway, tool guard

What this offering provides

- Per-agent token budgets that cap runaway cost while containment acts
- Loop and retry amplification measured, so containment tests include cost impact
- Overflow alerts that flag abnormal agent usage early
- Full architecture: decks 02 and 05

Note: No universal instant stop, and the design is unproven until the PoC passes. Deck 02 builds it; deck 05 operates it.

INPUT REQUIRED

Who delivers it, and what sellers need before day one

Role	Skills needed	Certification (verify current)	Ramp-up (estimate)	Bench now
FinOps analyst	Cost Management, FOCUS exports, showback	FinOps Certified Practitioner (FinOps Foundation)	2 weeks	Input required: delivery lead
Azure AI engineer	PTU sizing, benchmarks, deployment types	Azure AI Engineer Associate	2 weeks	Input required: delivery lead
Data analyst	KQL, workbooks, cost model	None required	1 week	Input required: delivery lead

Presales kit item	Status	Owner
Executive deck, talk tracks, customer pitch	Exists (v4.0 draft)	Offering owner
Demo environment	To build	CIS Infra lab owner (input required)
SOW template and estimator	To build	Presales lead with Finance
RFP answer bank	Draft exists (register)	Presales lead
Case study	After first pilot	Account team
Cost model workbook	To build	Offering owner 04

How account teams use it, and the contract risks to manage

Fits in the account plan
FinOps or cloud cost programme; renewal or PTU decision due.

First deal (illustrative)
$20k to $40k assessment.

Expansion path
Benchmark, FinOps operating model, then 01, 03 and 05.

Business-led entry
CFO: cost per useful AI task and a clear buying decision.

Contract topic	Proposed position	Owner
Liability cap	Per Cognizant standard terms; no uncapped liability for agent behaviour or customer data	Legal
Service-level penalties	Only on response targets inside coverage hours; none on Azure availability	Legal with delivery
IP of accelerators and code	Cognizant keeps reusable accelerators; customer owns its configuration and code	Legal
Change control	New scope, regions or runtimes priced by change request	Delivery with Finance
Advice liability	Options and evidence, not financial advice; the customer decides	Legal

Microsoft motion: engage the Azure AI specialist and account team; helps customers commit to PTU and models with confidence.

NO APPROVED QUOTE

Six cost layers are priced and owned separately

Layer	Applies to this offering	Pricing formula or unit	Missing input (owner)
1 CIS Infra services	Assessment and decision memo	Fixed fee per bounded scope	Fee level (Finance)
2 Specialist towers	AI usage forecast; Finance treatment	Tower role days x rate	AI tower estimate
3 Recurring managed service	Monthly review runs in offering 05	Included in offering 05 packages	Service rates (Finance)
4 Azure platform consumption	Logs, storage for exports	GB ingested, GB stored	Volumes (CIS Infra)
5 Model consumption	What the customer buys after the decision	Tokens x price; PTU x hours or reservation	Reservation price (customer, Microsoft)
6 GPU hosting	Only if self-hosting is chosen	VMs x hours or reservation + ops	Benchmark (AI); VM terms (customer)

Revenue recognition (Finance owns): Fixed price, recognised on acceptance of the decision memo. Owner: Finance.

Limit: Layers 4 to 6 are customer Azure spend unless a resale agreement says otherwise. They are not CIS Infra services revenue.

PROPOSED, VALIDATE WITH TOWERS

Delivery RACI: one accountable role per activity

Activity (proposed, validate with towers)	CIS Infra	Secu-rity	Dev-Ops	AI	Data	Data Eng.	Integr. service owner	Cust. work-load owner	Comm. / fin.
Assessment plan and scope	A/R	I	I	C	C	I	C	C	C
Telemetry baseline design and build	A/R	C	C	C	I	I	I	I	I
Usage forecast and model choice	C	I	I	A/R	C	I	I	C	C
Load tests and benchmarks	R	I	C	A/R	I	I	I	C	I
Cost model and sensitivity	A/R	I	I	R	I	I	C	C	C
Decision memo acceptance	R	I	I	R	I	I	C	A	C
Capacity commitment decision	C	I	I	C	I	I	I	A	C
Ongoing monthly review	R	I	I	R	I	I	A	C	C
Pricing, attribution and quote	C	I	I	C	I	I	R	I	A

A accountable (one per row) **R** responsible C consulted I informed. **Integrated service owner** = named Cognizant delivery lead for the end-to-end outcome.

Delivery and commercial readiness checklist

Item	This offering
Entry criteria	At least one workload with telemetry or a defined load test; FinOps and AI owners named
Discovery inputs	Inputs in A2; current bills; agreement prices; regions; latency targets
Deliverables	Baseline, profiles, option models, sensitivity, decision memo (A18)
Scope boundaries	Agreed workloads, models and regions; no purchase or deployment changes
Dependencies	Access to cost data and metrics; AI forecast; customer price inputs
Delivery phases	Instrument, measure, model, review (estimate per engagement)

Item	This offering
Acceptance criteria	Appendix A18
Customer responsibilities	Data access, pricing inputs, workload owners, decision authority
Pricing units	Fixed fee per bounded scope
Change-control triggers	More workloads, models or regions; GPU proof of concept
Support handoff	Monthly review in offering 05; routing changes in offering 03
Success indicators	Decision taken on evidence; forecast error tracked; unit cost visible

Decisions that need an owner and a date

Decision	Decide when	Proposed owner	Evidence needed
Assessment as a portfolio option	Now	CIS Infra leadership	Deck 00 exec 4 and 10
No commitment advice without measured data	Now	CIS Infra leadership	Policy statement
Fixed fee level and scope bands	Finance approval	Finance	Effort from pilot
Benchmark tooling and method	After pilot	AI tower lead	Pilot results
GPU proof-of-concept offer	Tower agreement	AI tower lead	Demand and skills
Customer PTU reservation prices	Per engagement	Customer procurement	Customer agreement
Licence economics scope with M365 and D365 teams	Before first pursuit	Offering owner with M365 lead	Joint-motion rules (deck 00)

Sources and verification

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